Weekly Insights | Sep 18, 2025

Executive Summary

Corn – Stocks Surprise Pushes Futures Lower, Demand Offers Cushion

USDA's quarterly *Grain Stocks* delivered the biggest shock of the week, placing Sep 1 U.S. corn inventories at 1.53 bbu, nearly 200 mbu above trade expectations, which reset supply perceptions and pressured December futures two percent lower to $4.165/bu, their weakest in a month. Spreads reflected the bearish tone, with Dec/Mar near 16¢, or roughly three-quarters of full carry, rewarding commercial storage. Harvest basis collapsed in river markets as Mississippi barge freight spiked to record levels, dragging Gulf bids lower. Still, export demand proved resilient: inspections hit 1.53 MMT, up nearly 30 percent from last year, and sales of 1.9 MMT included almost 0.9 MMT to Mexico. That steady flow kept U.S. corn values competitive into Latin America and Japan despite Brazil's lingering presence in world markets.

Soybeans – Argentine Policy Distorts Trade, U.S. Basis Softens

Soybeans traded defensively, with November futures slipping one percent to $10.13/bu despite slightly tighter Sep 1 U.S. stocks at 316 mbu, down eight percent from last year 344 mbu. Argentina's abrupt suspension of export taxes unleashed a wave of farmer selling, prompting China to secure roughly 2.7 MMT of Argentine soy at steep discounts and sidelining U.S. origin. U.S. export inspections, at just 0.59 MMT, remained well below average, though sales of 0.72 MMT offered modest relief with Egypt and Mexico leading buyers. High freight costs weighed on basis, with the national average near 43¢ under November, among the weakest early-harvest levels in years. Crush margins narrowed to $1.10/bu as soymeal lost ground and soy oil's early-week rally stalled. Futures spreads remained near full carry, with Nov/Jan at 19¢, underscoring comfortable pipeline supplies and weak nearby demand.

Wheat – Rising Stocks and Production Confirm Bearish Tone

The wheat complex slid to fresh lows as the Grain Stocks and Small Grains reports reinforced global surplus. U.S. Sep 1 wheat stocks reached 2.12 bbu, about 80 mbu above expectations, while USDA raised the 2025 crop to 1.985 bbu on better yields in HRW and HRS areas. December Chicago wheat fell 2.5 percent to $5.09/bu, with Dec/Mar spreads stretching to 18¢ (roughly 50–65 percent of full carry). Export demand was lackluster, with cumulative inspections only modestly above last year's depressed pace. Global supply pressure remained acute: Russia continued aggressive exports near $230/MT FOB, Poland and Ukraine expanded wheat output, and Argentina's new crop was pegged sharply higher at 22 MMT. Heavy fund shorts persisted, keeping the market on the defensive absent a geopolitical shock.

(Carry % calculated assuming 7% annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

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Macro/Policy – Softer Dollar, Divergent South American Currencies Shape Trade

Macro conditions offered no relief. The U.S. Dollar Index hovered near one-year highs (97.68) as Treasury yields climbed toward four percent, raising carrying costs and challenging U.S. export competitiveness. Crude oil pulled back, trimming biofuel optimism, while equities softened on broader risk-off sentiment. Argentina's late-September suspension of export taxes on corn, soy, and wheat briefly unleashed a surge of farmer selling and distorted global flows, most notably diverting Chinese soybean purchases away from the U.S. Logistics compounded the strain: critically low Mississippi River levels drove barge freight to multiples of average costs, further eroding interior basis and export margins. The U.S. government shutdown that began October 1 has halted updates to USDA data releases, including *Crop Progress* and *Export Sales*, adding a new layer of uncertainty to near-term market signals .

Weather

U.S. weather was broadly supportive of harvest, with warm and dry conditions accelerating crop maturity and harvest progress (corn 18 percent, soybeans 19 percent harvested by Sep 28). Crop ratings held steady, confirming no late-season damage. The Plains remained dry, raising concerns for HRW wheat establishment, though early October rains in forecasts could improve stands. In South America, Brazil's soybean planting just began, but is off to a slow start as farmers wait for consistent rains in Mato Grosso and Goiás, while southern Brazil dried out after earlier excess moisture. Argentina benefited from late-September rains across the Pampas but forecast dryness in early October could again challenge corn planting and wheat recovery.

What's Next (Oct 2 – Oct 8):

USDA Export Sales (Oct 3): will confirm whether Mexico remains the key U.S. corn buyer and if China reappears in soybeans.

Harvest Pace: watch for corn and soybean harvest acceleration toward the 50 percent mark by mid-October.

***WASDE* Setup:** traders position for Oct 9 USDA report, balancing higher carry-in against yield speculation.

River Logistics: rainfall in the Ohio/Tennessee basins could ease barge freight, but absent relief, Gulf basis levels may weaken further.

Brazil Planting: forecast rains in early October critical for Mato Grosso soybean sowing; delays would inject risk premium.

Black Sea & Policy: monitor Russian export pace and Argentina's volatile policies ahead of elections as potential price drivers.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	9/24/2025 Close	10/01/2025 Close	Change (Δ)	Δ%	5-day Realized Vol*	Open Interest Δ

Corn (Dec ’25)	$4.24	$4.16	-$0.08	-2.0%	14% (ann.)	+5k (est.)
Soybeans (Nov ’25)	$10.24	$10.13	-$0.11	-1.0%	10% (ann.)	-7k (est.)
Wheat (Dec ’25)	$5.19	$5.09	-$0.10	-2.5%	9% (ann.)	-10k (est.)

5-day realized volatility estimated from daily settlement price changes.
Actual contract open interest changes are estimated; total corn OI rose slightly as new-crop hedges built, while wheat OI fell with Sep contract deliveries.

Table B – Key Calendar Spreads & % of Full Carry

Spread (Crop ‘25→‘26)	9/24 Quote	10/1 Quote	Δ (carry)	% Full Carry*	Market Implication
Corn Dec–Mar	+$0.19	+$0.16	-0.03	%73	Carry narrowed; still rewards storage/hedging
Soy Nov–Jan	+$0.15	+$0.19	+0.04	%86	Moderate carry; crushers absorbing supply
Wheat Dec–Mar	+$0.18	+$0.18	0.00	%82	Steady carry; reflects heavy supply coverage

Assumes 7% annual interest + $0.05/bu/month storage/insurance. Full carry (3 months) ≈ $0.22–$0.23 for corn & SRW wheat; (2 months) ≈ $0.22 for soybeans. % of full carry = (calendar spread ÷ calculated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Mo)	9/24 USD Price	10/1 USD Price	Δ	Notes
Dalian Corn (Jan)	¥2,230 ($7.93)	¥2,225 ($7.88)	-0.2%	China corn futures slipped; still premium over imports
Dalian Soymeal (Jan)	¥3,580 ($5.06)	¥3,600 ($5.11)	+0.9%	Soymeal firm, hog demand steady
B3 (São Paulo) Corn (Nov)	R$67.5 ($12.67)	R$67.18($12.61)	-0.5%	Brazil corn pressured by export pace
Euronext Wheat (Dec)	€190.5 ($224)	€187.75 ($220.35)	-1.4%	EU wheat capped by cheap Black Sea offers

Corn Market Deep Dive

Futures & Spreads: December 2025 corn futures slumped to $4.165/bu on Oct 1, down 9¢ (two percent) from the prior week and marking a one-month low. The sell-off accelerated on Sept 30 after USDA’s quarterly *Grain Stocks* pegged Sep 1 inventories at 1.53 bbu, roughly 190 mbu above trade expectations. The bearish surprise reset supply perceptions and pushed Dec futures through key support near $4.20. Spreads remained steep: Dec ’25–Mar ’26 closed around +16¢ carry, about 75 percent of full carry, offering elevators roughly 5¢/mo to store grain. Implied volatility picked up after the report but settled near 21 percent, signaling more two-sided trade but no panic.

Funds & Positioning: CFTC data through Sept 23 showed managed money net short near 150,000 contracts, and open interest rose modestly in the days following the stocks report, suggesting fresh short positions entered the market. Commercials extended hedges, taking advantage of profitable carry. The net result is a market tilted structurally bearish, funds pressing shorts, commercials storing, with little speculative buying to counter the move.

U.S. Cash & Basis: Interior basis weakened sharply where river logistics dominate. Illinois River bids fell to 30 to 40¢ under Dec, and Memphis bids collapsed to 70¢ under as Mississippi barge freight spiked to around $19.53/ton, more than double normal levels in some corridors. Gulf CIF corn eased accordingly, weighing on export elevators. By contrast, ethanol plants and feeders kept bids relatively firm: Iowa processors paid near parity to Dec, and Plains feedlots continued to bid premiums as local supplies stayed tight. Nationally, the corn basis index averaged about 22¢ under December futures, consistent with the seasonal harvest pressure but not yet signaling distress.

Export Flows: Export demand provided support for prices despite the shock of USDA's higher-than-expected old-crop carryout estimate. Weekly inspections reached 1.53 MMT (up 30 percent YoY), led by Mexico (0.5 MMT) and Japan. Sales totaled 1.92 MMT, with Mexico booking nearly 0.9 MMT alongside notable interest from Colombia and Spain. That volume helped keep U.S. Gulf corn competitive, even as Brazil continued to dominate Asia with cheaper offers.

International Trade: Brazilian FOB corn out of Santos traded near $205/MT ($5.20/bu), maintaining a $25–30 discount to U.S. Gulf offers and limiting U.S. exporters' reach into Asia. Argentina briefly undercut prices from both rival sources during its zero-duty export window, with Up-River FOB near $200–205/MT, but the bulk of the "competitively priced" supply has already been flushed through the system. China remained absent from U.S. corn books, working through state reserves and favoring domestic feed grains. Dalian Jan '26 corn futures hovered around ¥2,500/MT ($6.50/bu), still above import parity, but tariffs and politics continue to block U.S. flows

So What? Corn is firmly in a storage-driven phase. The surprise in USDA stocks added immediate weight to futures, but robust Latin American demand is keeping a floor under Gulf values. Wide carries and weak river basis signal commercials are comfortable hedging and holding grain, while inland processors seize opportunities from cheap harvest supplies. For now, futures appear anchored in the mid-to-low $4s, with the path of least resistance slightly lower if harvest yields validate USDA's high expectations. The bearish structure leaves funds in control, but the set up also leaves futures prices vulnerable to short covering should yields disappoint or export demand accelerate.

Soybean Market Deep Dive

Futures & Spreads: November 2025 soybean futures eased one percent this week, settling at $10.13/bu. The move came despite slightly tighter-than-expected U.S. Sep 1 stocks at 316 mbu, which were modestly below trade expectations. Futures spreads remained steep: the Nov '25–Jan '26 spread closed near +19¢, about 85 percent of full carry, underscoring abundant nearby supply and muted urgency from buyers. Board crush margins narrowed to roughly $1.10/bu, down from earlier levels as meal softened and a rally in soybean oil lost steam.

Funds & Positioning: Speculators responded to the Argentine policy shock by pulling back. Managed money trimmed exposure, with longs liquidated on the shift in trade flows away from the U.S. Commercials expanded short hedges into harvest, consistent with a carry market and weaker Gulf basis. Implied volatility rose modestly, reflecting heightened uncertainty over how long South America's competitive advantage will persist.

Cash & Basis: U.S. basis weakened across river markets. CIF Gulf premiums slipped under the combined weight of high barge freight and harvest supplies, while interior bids in the Midwest fell as elevators struggled to move grain. In contrast, domestic crushers kept bids relatively firm, though even processor basis eased slightly as plants gained coverage. Nationally, basis patterns aligned with the futures carry: nearby demand is soft, while commercials capture storage returns by rolling grain forward.

Trade Flows: Export inspections were subdued at 594,000 MT, well below last year's pace and underscoring limited global demand for U.S. beans. Weekly sales totaled 0.72 MMT, led by Egypt, Taiwan, and Mexico. Crucially, China was absent. Instead, China booked an estimated 2.7 MMT of

Argentine soybeans during the brief zero-tax window, diminishing the prospects for U.S. shipments to the world's largest buyer as harvest ramps up in the Corn Belt. This diversion highlighted how policy shifts abroad can dictate near-term U.S. export performance.

International Competition: Argentine supplies dominated headlines after the government suspended its hefty export tax (roughly 30 percent of the value), making Argentine soybeans, soybean meal and soybean oil the cheapest globally. That advantage allowed China to secure large volumes at a $2.15–$2.30/bu premium to CBOT November futures yet, still undercutting U.S. and even Brazilian offers after tariffs and logistics. Brazil's FOB Gulf remained steady but less active, as much of its old crop is sold. Meanwhile, U.S. Gulf basis eased further, reflecting shrinking competitiveness into world markets.

So What? Soybeans remain caught in a tug-of-war: modestly supportive U.S. stocks and firm crush demand at home versus severe headwinds from South American competition abroad. The futures curve near full carry and weakening harvest-time basis signal that commercials prefer to store beans rather than chase exports. The competition from Argentina has since dissipated, as the temporary tax holiday ended abruptly in late September upon reaching the $7 billion export cap in just two to three days, allowing U.S. values to regain some footing. Without China returning to the U.S. book, futures are likely to hover near $10.10 , with rallies capped by high U.S. inventories and pre-booked South American offers. The asymmetric risk is that until U.S. tariffs are addressed, China's prior purchases will keep U.S. soybeans stuck in a structurally weak export environment through the prime harvest season.

Wheat Market Deep Dive

Futures & Spreads: December 2025 CBOT wheat futures fell 2.5 percent this week to $5.09/bu, setting fresh contract lows as heavy supply weighed on sentiment. The Dec–Mar spread widened to 18¢ carry, roughly 50–65 percent of full carry, underscoring how comfortable the supply situation has become. Implied volatility firmed into the low 20s, reflecting the sharp move lower but still within the band of orderly trade.

Global Supply & Demand: The bearish tone was cemented by USDA's *Grain Stocks* and *Small Grains Annual Summary* reports. Sep 1 U.S. wheat stocks were pegged at 2.12 bbu, about 80 mbu above trade expectations and six percent higher than last year. At the same time, 2025 production was revised up to 1.985 bbu, with larger HRW and HRS crops than previously thought. Abroad, production estimates moved higher too, assessments of Poland's crop rose to 13.4 MMT, Ukraine expanded winter plantings, and Argentina's new crop is forecast at 22 MMT vs 18.6 MMT last year. Together, these adjustments loosened the global balance further, keeping pressure on U.S. FOB values.

Cash & Basis: Cash markets echoed the futures weakness. HRW, SRW, and HRS stocks all exceeded analyst expectations, leaving domestic pipelines flush. U.S. FOB offers softened: SRW near $250/MT and HRW 11.5% around $270/MT, undercut by French and Russian values. Russian 12.5% protein wheat held near $228–230/MT FOB Black Sea, continuing to set the global floor. Basis levels at the Gulf remained pressured as exporters struggled to attract fresh sales despite lower board prices.

Trade Flows: Export demand remains sluggish. Weekly sales totaled 0.54 MMT, led by the Philippines and Italy, but the cumulative program is still only 15 percent ahead of last year's depressed pace. Inspections reached 9.54 MMT YTD, a modest gain versus 2024 but far below what is needed to offset the heavy carry-in. With Russia dominating global tenders and EU wheat also available, U.S. exports remain a residual supplier.

Speculative Positioning: Managed funds remain entrenched in heavy short positions across all U.S. wheat classes. The combination of bearish fundamentals and wide carries makes wheat an attractive short, and rallies have been consistently sold into. However, the size of the net short leaves the market exposed to sharp bouts of short covering should a bullish catalyst emerge, for instance, a disruption in Black Sea flows or weather setbacks in Australia.

So What? Wheat is firmly in a supply-heavy phase. Larger-than-expected U.S. stocks and an upward production revision reinforced bearish sentiment, while aggressive Russian exports continue to cap world values. Futures now trade near levels that could stimulate incremental demand, but without a material tightening in global supply or a geopolitical disruption, rallies are likely to be shallow and fleeting. The market structure, full carry spreads, heavy speculative shorts, and weak FOB values, reflects a trade dominated by surplus management. Until demand improves or competitors falter, wheat futures are likely to grind sideways at depressed levels, with volatility driven more by positioning squeezes than by fundamental tightening.

U.S. Cash Market & Basis

Corn: Harvest pressure and strained logistics weighed heavily on corn basis. Interior river bids fell sharply as Mississippi barge freight surged to well above average levels, with spot freight costs doubling in some corridors. Lower Mississippi elevators saw basis collapse as exporters passed the freight burden back to farmers, leaving CIF Gulf values under pressure. In contrast, ethanol plants and feed mills in the Eastern Corn Belt reported steadier bids, trimming only modestly as processors maintained demand. The national average corn basis ended the week near 22¢ under December futures, underscoring the split between weak river markets and firmer inland demand.

Soybeans: Soybean basis weakened across most export channels. CIF Gulf premiums slipped as harvest deliveries met expensive river freight, while the national average soybean basis was around 43¢ under November, one of the weakest harvest-time levels in recent years. The softness was amplified by the absence of China from the U.S. program and the diversion of demand toward Argentine beans during Buenos Aires' brief tax holiday. By contrast, domestic crush plants continued to pay up, though margins narrowed from earlier highs. Eastern Corn Belt crushers reported only modest basis slippage, supported by slow farmer selling and steady product demand, while Pacific Northwest export basis held relatively firm given limited pipeline supplies. The net result was a two-speed market: weak at river and Gulf, but firmer at processors.

Wheat: Wheat basis softened in line with the bearish tone of the Grain Stocks report. With HRW, SRW, and HRS inventories exceeding expectations, exporters struggled to maintain premiums. FOB Gulf offers eased, with HRW 11.5 percent around $270/MT and SRW near $250/MT, still well above Russian values. Domestic mills held bids largely steady, covered for nearby needs, but lacked incentive to chase additional volume with abundant supply confirmed.

So What? Cash markets are validating the futures carry. Corn and soybeans show sharp basis weakness where river logistics bite, but interior processors and feeders continue to anchor demand. Wheat basis mirrors the global oversupply theme, slipping under competitive pressure from Russia and Europe. For merchandisers, the strategy remains straightforward: store grain where possible to capture carry, sell soybeans into crushers rather than export channels, and wait for potential relief in river freight or South American demand before export basis recovers.

International Cash & Trade Flows

Brazil: Brazil remained the price leader in global corn and soybean trade. FOB Santos corn held near $205/MT, keeping a $25–30 discount to U.S. Gulf offers and sustaining strong demand into Asia and the Middle East. Soybean old-crop availability is now minimal, but forward premiums remain competitive, particularly with Argentina's temporary surge now fading. Farmer selling slowed under currency strength, leaving exporters to rely on pipeline stocks to keep shipments moving.

Argentina: The short-lived suspension of export taxes on corn, soybeans, and wheat triggered a wave of registrations and front-loaded sales. Within days, exporters booked more than 5 MMT of shipments, with corn FOB Up-River offers near $200–205/MT, briefly undercutting Brazil and the U.S. Meal and oil also priced aggressively into Asia, pushing U.S. values out of contention. With taxes reinstated, Argentina's competitiveness has already receded, leaving open the possibility of a quieter export program into year-end.

China: China capitalized on Argentina's tax holiday, securing roughly 2.7 MMT of soybeans and multiple product cargoes at steep discounts. U.S. beans were left sidelined despite slightly tighter domestic stocks, while Brazil supplied the balance of China's September arrivals. With domestic crush margins still weak, China's forward buying strategy remains opportunistic, chasing the cheapest origin rather than building a steady U.S. program.

Black Sea: Russia continued to dominate wheat exports, with 12.5 percent protein wheat offered near $228–230/MT FOB, the cheapest globally. Ukraine's exports remain constrained, about 40 percent behind last year, as volumes move mainly via Danube and rail routes. Corn shipments totaled around two MMT since August, keeping Ukraine relevant in EU feed demand but leaving Russia as the central force in world wheat pricing.

European Union: EU wheat production was revised higher, with Poland's crop boosted to 13.4 MMT. Corn imports remain brisk, with Ukraine and Brazil supplying most of the flow to cover Europe's shortfall. EU exporters remain largely uncompetitive in wheat tenders compared with Russia, reinforcing the global abundance narrative.

Other Origins: Mexico remained the standout U.S. corn buyer, taking nearly 0.9 MMT in last week's sales alongside strong inspections. Japan and Spain also booked U.S. corn cargoes, though at smaller scale. In wheat, North African and Middle Eastern tenders were dominated by Russia, while Argentina's short burst of offers diverted some Asian demand away from the U.S.

So What? Global flows underscore how U.S. exports remain the residual supplier. Brazil continues to anchor corn values into Asia, while Argentina's tax holiday injected a temporary flood of beans and products that displaced U.S. offers in China. Russian wheat remains the benchmark, capping upside for U.S. FOB prices. Yet cracks are visible: Brazilian farmer selling has slowed, and Argentina's competitiveness is already fading. For U.S. exporters, Mexico's steady corn demand provides a floor, but broader opportunities hinge on shifts in South American supply or a disruption in Black Sea flows. Until then, world buyers enjoy abundant choice at prices that undercut U.S. Gulf offers.

Key Fundamentals & Reports (Sep 25 – Oct 1)

Government Shutdown: The inability to agree on a continuing resolution left the U.S. government closed as of the writing of the report. Given the current position of both sides, this shutdown could last longer than a couple of days, but it may also be resolved by the end of the day. However, until the government reopens, USDA will not publish reports. Whether the reports are released later is unclear. Prior shutdowns that lasted several weeks resulted in interpolation for the missing data points in the affected reports, which were never released after reopening. Still, most shutdowns only last for a couple of days and ultimately the shutdown will not impact world grain and oilseed market fundamentals.

Quarterly *Grain Stocks* (USDA, published Sep 30): The September 1 corn stocks estimate came in at 1.53 billion bushels, nearly 190 million above analyst expectations and 12 percent higher than last year. The surprise increase reflected larger on-farm holdings and implied stronger feed and residual use earlier in the summer, resetting perceptions of the carryout path. Soybean stocks were reported at 316 million bushels, a touch below expectations but still comfortably above last year's 268 million. For wheat, Sep 1 inventories reached 2.12 billion bushels, about 80 million higher than trade guesses and six percent larger year-on-year, reinforcing the weight of abundant supply heading into 2025/26.

***Small Grains Annual Summary* (USDA, published Sep 30):** USDA revised U.S. wheat production for 2025 to 1.985 billion bushels, up from the previous 1.927 billion, as higher HRW and HRS yields more than offset minor reductions elsewhere. The increase not only added to domestic stocks but also underscored the global abundance theme, particularly as Russia, Canada, and South America are all projected to expand output. This revision reinforced the bearish tone already established by the *Grain Stocks* report.

***Crop Progress* (USDA NASS, published Sep 29 for week ending Sep 28):** Corn harvest advanced to 18 percent complete, slightly ahead of the 15 percent five-year average, while soybean harvest reached 19 percent versus the 16 percent norm. Crop ratings held steady at 66 percent good/excellent for corn and 63 percent for soybeans, with no late-season deterioration. HRW wheat planting stood at 26 percent, behind the 29 percent average pace, reflecting dryness across parts of the Southern Plains. Overall, the data suggest a smooth U.S. harvest, with ample supplies moving into the pipeline, though concerns remain for wheat stand establishment in the Plains.

Export Inspections (USDA FGIS, week ending Sep 25, reported Sep 29): Weekly corn inspections totaled 1.53 MMT, a solid performance that was up 30 percent from last year, led by consistent shipments to Mexico and Japan. Soybean inspections, at 594,000 MT, were well below seasonal averages, with China absent from the U.S. program as Argentine beans captured demand. Wheat inspections reached 0.66 MMT, steady compared with last year's pace, but not enough to offset competition from Russia and the EU. The inspection data underscored the split dynamic: strong corn exports, weak soybeans, and steady but underwhelming wheat shipments.

Export Sales (USDA FAS, week ending Sep 18, reported Sep 25): Net corn sales surged to 1.92 MMT, highlighted by nearly 0.9 MMT sold to Mexico, confirming Mexico's continued role as the cornerstone of U.S. demand. Soybean sales were 0.72 MMT, led by Egypt and Mexico but with China again absent. Wheat sales came in at 0.54 MMT, a modest volume that reflected limited competitiveness in global tenders. Together, the sales data showed how corn remains in demand, soybeans continue to underperform, and wheat struggles to find traction against cheaper Black Sea origins.

Ethanol Production & Stocks (EIA, weekending Sep 27, reported Oct 1): Ethanol output averaged 1.024 million barrels per day, down slightly from the prior week's 1.055 million barrels per day, while stocks rose to 23.456 million barrels, up from 22.602 million. Implied corn use for ethanol held steady, reflecting solid processor margins supported by gasoline demand near nine mbpd and blending economics still positive. The data confirms that ethanol remains a consistent source of corn demand during harvest, offsetting some of the bearish supply-side signals from the USDA stock estimate.

So What? The fundamental reports this week reinforced a bearish tilt for corn and wheat, with larger-than-expected stocks and upward production revisions outweighing steady domestic demand. Soybeans provided only minor relief, with stocks slightly tighter than expected but still burdened by poor exports and competition from Argentina. Corn exports and ethanol use remain bright spots, keeping some resilience in the balance sheet, while wheat continues to face overwhelming global competition. The key hinge remains Chinese buying — without renewed demand, harvest pressure will dominate soybeans into October, while corn and wheat remain defined by heavy supplies and storage-led market structures.

International Reports:

Brazil – Exports & Farmer Selling: Brazil remained the anchor for global corn trade, with FOB Santos offers near $205/MT, roughly $25–30 below U.S. Gulf levels and keeping Brazil dominant into Asia and the Middle East. Old-crop soybean availability has largely dried up, but forward premiums remain competitive. A stronger Real slowed farmer selling, leaving exporters more reliant on pipeline supplies to sustain shipments.

Argentina – Tax Holiday Fallout: Argentina temporarily suspended export taxes on soybeans, corn, wheat, and products in late September, triggering an immediate wave of registrations exceeding five MMT. Corn FOB Upriver values printed at $200–205/MT, briefly undercutting Brazil and the U.S., while China secured an estimated 2.7 MMT of soybeans during the window and meal/oil moved at steep discounts. The move front-loaded exports: once duties return, Argentina's competitiveness is expected to fade into late Q4.

China – Opportunistic Buying: Chinese crushers capitalized on Argentina's brief tax holiday, sidelining U.S. origin by booking multiple soybean and product cargoes at steep discounts. Despite slightly tighter U.S. soybean stocks, China maintained its absence from the U.S. export program, while Brazil covered the balance of arrivals. With domestic crush margins still weak, Chinese buying remains opportunistic and price-driven rather than steady.

Black Sea – Russian Dominance Continues: Russia extended its dominance in wheat trade, offering 12.5 percent protein at $228–230/MT FOB, the cheapest globally. Ukraine's exports remained constrained, still running about 40 percent behind last year, with shipments mainly redirected through Danube and rail routes. Corn exports totaled around two MMT since August, keeping Ukraine relevant for EU feed demand but leaving Russia as the primary price-setter in wheat.

European Union – Larger Crops, Steady Imports: EU wheat production was revised higher, with Poland's crop lifted to 13.4 MMT. At the same time, corn import demand remains brisk, primarily covered by Brazil and Ukraine. EU exporters continue to struggle for competitiveness in global tenders, especially against Russian wheat.

Other Origins – Mexico & Asia: Mexico was again the standout U.S. buyer, booking nearly 0.9 MMT of corn last week alongside strong inspections. Japan and Spain also took U.S. corn cargoes, though at smaller scale. In wheat, North African and Middle Eastern tenders remained dominated by Russia, while Argentina's short-lived surge diverted some Asian demand away from the U.S.

So What? International trade flows this week reinforced the headwinds facing U.S. exporters. Brazil continues to undercut U.S. corn into Asia, while Argentina's temporary tax holiday displaced U.S. beans in China. Russian wheat remains the cheapest origin, limiting U.S. opportunities in global tenders. Yet these competitive pressures carry limits: Brazil's farmer selling is slowing under currency strength, and Argentina's surge was temporary. U.S. corn maintains a strong foothold in Mexico, but broader market share gains will hinge on shifts in South America or disruptions in the Black Sea.

Weather & Crop Conditions

United States

Crop Progress & Rainfall: Warm, dry conditions accelerated fieldwork and kept harvest moving smoothly. By Sept 28, corn harvest reached 18 percent (vs 15 percent avg) and soybeans 19 percent (vs 16 percent avg). Crop ratings held steady at 66 percent G/E for corn and 63 percent G/E for soybeans. Dryness remained most acute across the western Corn Belt, where subsoil deficits kept stalk integrity/lodging risk elevated. Winter wheat planting advanced to 26 percent complete (vs 29 percent avg), with parts of the Southern Plains looking for timely moisture to firm stands.

Temperatures: A broadly warm, harvest-friendly pattern prevailed. No widespread frost threat materialized, preserving late-season yield potential and allowing steady dry-down. Heat wasn't excessive but combined with dryness continued to sap subsoil moisture in western Belt areas and did little to relieve low river levels that are feeding into barge logistics stress.

Outlook (6–10 days): Early-October guidance in the summary points to a continued bias toward warm/dry for rapid harvest, with attention on any Ohio/Tennessee basin rains that could ease barge freight and modestly support Gulf basis. In the Plains, showers will help HRW establishment if they verify; otherwise, stand risk lingers into mid-October.

South America: Brazil's soybean planting is beginning, but central areas (Mato Grosso, Goiás) still need consistent rains to scale up; southern Brazil has turned drier, adding stress to wheat at a sensitive stage. In Argentina, late-September showers aided northern areas, yet the Pampas remain moisture-deficient heading into October corn/soy planting. The early-October rain setup is pivotal: timely coverage would unlock fieldwork; continued patchiness would push planting later and tighten the forward calendar.

Global: Late-season improvements lifted Canada (spring wheat/canola) and prompted a wheat upgrade in the EU (notably Poland), while Russia stayed on track under favorable conditions—together reinforcing an abundant global supply backdrop. Australia remained dry under El Niño, trimming wheat potential as filling progresses. Ukraine picked up late-September rains, improving soil conditions for winter sowing.

So What? In the U.S., weather has shifted from yield risk to pace/quality/logistics: fast harvest adds near-term supply pressure and keeps river-linked basis weak. The next meaningful swing factor sits in South America, if central Brazil rains lag or Argentina stays dry, early-season planting delays could add risk premium back into beans (and to a lesser extent corn) later in October. For now, the U.S. pattern is modestly price-bearish, while South American uncertainty is the key wildcard.

Synthesis & Outlook

This week underscored the pivot from harvest-friendly U.S. weather and steady demand in corn to acute export headwinds in soybeans and a still-burdensome global wheat supply. Futures and cash are broadly aligned: corn is anchored by strong Mexican demand and firm ethanol grind, soybeans are weighed down by Argentina's temporary export surge, and wheat remains capped by Russia's dominance. Spreads in all three markets are in carry, but not at burdensome extremes, signaling orderly commercial hedging rather than distressed selling. Basis shows the same split: exporters under pressure from freight and South American competition, while domestic processors keep bids firm.

Speculative positioning reflects this mixed setup. Funds trimmed shorts in corn and wheat, reducing downside momentum, while soybeans saw outright long liquidation as Argentina's tax holiday flooded the market with cheap offers. The balance of positioning leaves markets sensitive: with fewer shorts to squeeze, rallies will need true catalysts, disappointing yield reports, tighter stocks data, or fresh export demand. Without such triggers, the path of least resistance remains sideways to slightly lower into early October.

Base case: December corn holds in a $4.10–$4.35 band, November soybeans hover near $10.10, and December wheat trades around $5.00–$5.20. Carries remain at 55–65 percent of full storage, reflecting ample but orderly supply. Processor basis continues to anchor soybeans and corn domestically, while river markets stay pressured by freight costs and weak export competitiveness.

Bullish triggers: USDA's *Grain Stocks* surprise tightened the soybean balance sheet modestly but added weight to corn and wheat; any further Chinese soybean purchase or continued flash sales of U.S. corn to Mexico would reinforce rallies. On wheat, a sudden Russian export policy shift remains the clearest upside spark, given the heavy fund shorts. Even modest Mississippi River relief would help firm Gulf basis and narrow spreads.

Bearish triggers: With harvest weather ideal and yield results meeting USDA's high expectations, futures could grind lower. December corn risks drifting back to $4.05, November soybeans could retest $9.80–$9.90 under Argentina's and Brazil's export dominance, and wheat could soften if Russia continues to undersell globally. A firmer dollar or weaker crude would add downside pressure.

Watchlist (Oct 3 – Oct 9):

USDA Export Sales (Oct 3): Confirm whether Mexico remains the key U.S. corn buyer and if China reappears in soybeans.

Harvest Pace: Watch for corn and soybean harvest acceleration toward the 50% mark by mid-October.

WASDE Setup: Traders position for Oct 9 USDA report, balancing higher carry-in against yield speculation.

River Logistics: Rainfall in the Ohio/Tennessee basins could ease barge freight, but absent relief, basis may weaken further.

Brazil Planting: Forecast rains in early October critical for Mato Grosso soybean sowing; delays would inject risk premium.

Black Sea & Policy: Monitor Russian export pace and Argentina's volatile policies ahead of elections as potential price drivers.

In summary: The grain complex closes September with a neutral-to-bearish tilt. Ample U.S. supply and South American competition keep rallies capped, but the market is not in distressed surplus, spreads and basis point to orderly storage and selective demand. For commercials, corn and wheat favor carry capture, while soybeans favor quick movement into crushers. The key swing factors lie in the recent Sept 30 stocks report and ongoing South American weather. Without a bullish surprise in either, markets are likely to stay rangebound.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to $3.90 a bushel. Most importantly, 202526 crop year is expected to have 1.8 billion more bushels than 2024/25.